

## 8.3 Achieving sustainable development

This chapter will explain:

- ★ what sustainable development is
- ★ the strategies to try to achieve sustainable development
- ★ the techniques used by selected sectors that promote sustainability
- ★ the strategies to reduce uneven development
- ★ detailed specific example: Indonesia: an emerging economy.

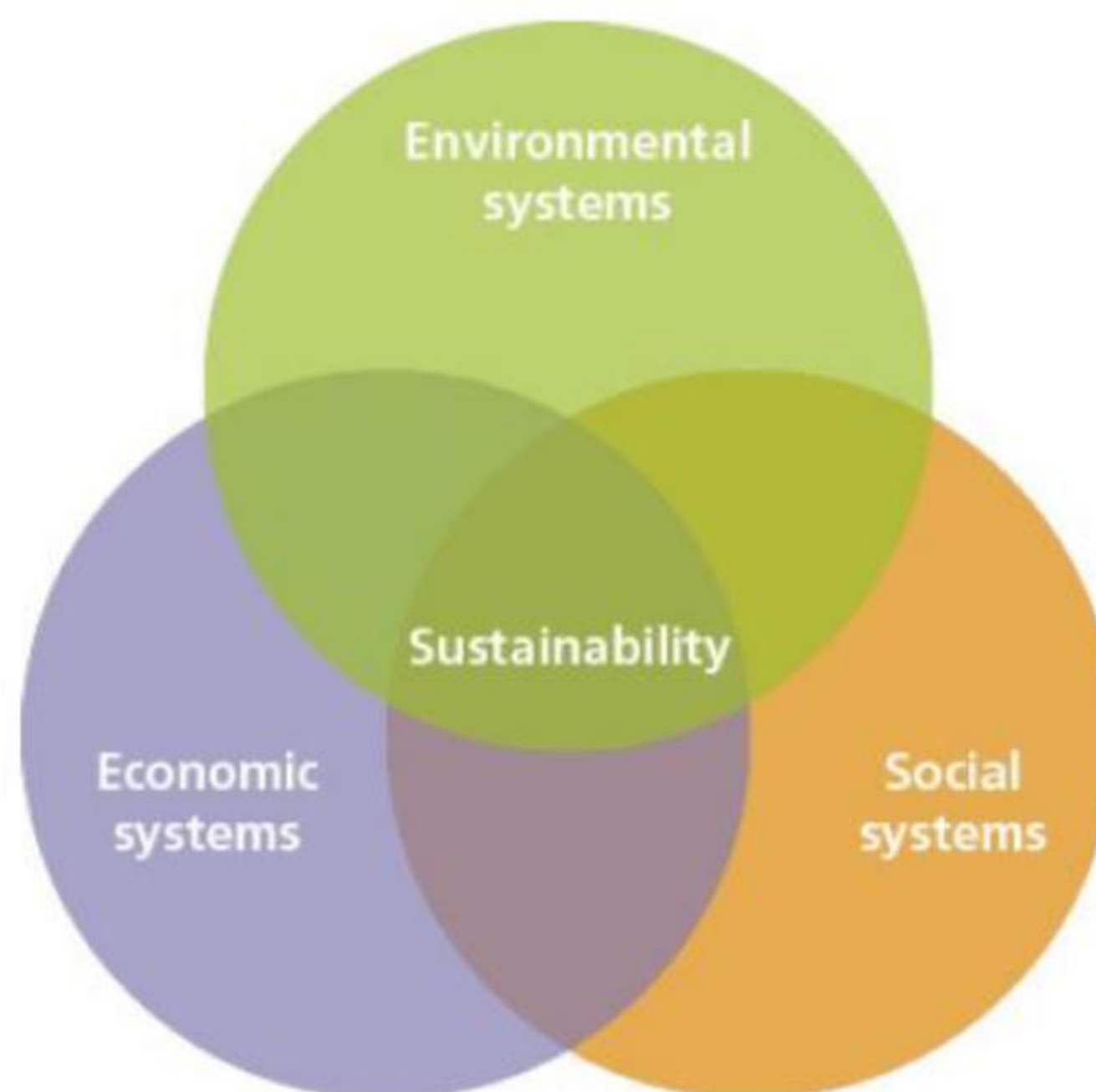
### What is sustainable development?

**Sustainable development** is development that meets the needs of the present without compromising the ability of future generations to meet their own needs. The concept of sustainability was established at the first UN Conference on the Environment in 1972, but it did not really take shape until 1987 when the report 'Our Common Future' identified in detail the objectives of sustainable development.

The concept of sustainability can be applied in various ways:

- » On the full range of scales, from the individual to the world as a whole. Governments are increasingly reminding individuals and households about their carbon footprint and how this can be reduced. At the largest scale, sustainability focuses on the total carrying capacity of the planet.
- » To different geographical environments, such as rainforests, temperate grasslands and urban areas. Satellite photography has enabled a major advance in our ability to see what is happening over large land areas. It has allowed short-term changes to be recognised quickly.
- » To individual economic activities such as tourism, agriculture and forestry. Each sector has its own impact on the environment, which can be modified by careful management.

Sustainability need not require a reduction in quality of life, but it does require a change in attitudes and values toward a less consumptive lifestyle. These changes must embrace global interdependence, environmental stewardship, social responsibility and economic viability. Environmental sustainability in a country or region is difficult to achieve without economic and social sustainability because of the strong interconnectedness between these three vital aspects of life ([Figure 8.15](#)). Economic sustainability involves maintaining income and employment. Social sustainability means maintaining social capital, including that devoted to health, education, housing and the rule of law.



▲ **Figure 8.15** Social, economic and environmental sustainability

Sustainability is the foundation for the 2030 Agenda for Sustainable Development and its **Sustainable Development Goals**. The UN's 17 Sustainable Development Goals (SDGs) with their 169 targets were adopted by UN Member States in 2015 ([Figure 8.16](#)). The overall objectives were to:

- a** end poverty
- b** protect the planet
- c** ensure all people enjoy peace and prosperity.





▲ **Figure 8.16** The 17 Sustainable Development Goals

The 17 SDGs are ‘integrated’ – recognising that action in one area will affect outcomes in others. The hope was that all these aims would be achieved by 2030. This would go a long way to protect Earth’s resilience for future generations.

However, the 2024 Report on Progress towards the SDGs painted a pessimistic picture:

- » Only 17 per cent of the 169 SDG targets are on track to be achieved.
- » Nearly half are showing only minimal or moderate progress.
- » Progress on over a third of the targets has stalled or even regressed.

The 2024 Report on Progress recognised the slow but steady progress in the early years (post-2015) of SDG implementation, but highlighted the mix of global problems since 2019 that have seriously hampered further progress, namely:

- » the Covid-19 pandemic
- » a growing number of major conflicts
- » geopolitical and trade tensions
- » the ever-worsening effects of climate change.

All these major issues were additional to the long-lasting problems of:

- » significant shortcomings in global economic and financial systems
- » historical injustices.

The 2024 Report on Progress views strong global solidarity as vital to achieving meaningful sustainability. It raised serious concerns about the deterioration in global cooperation.

## The 2024 Environmental Performance Index

The **Environmental Performance Index (EPI)** uses 58 performance indicators across 11 categories to score and rank countries around the globe on:

- » climate change performance
- » environmental health
- » ecosystem vitality.

These indicators provide a measure at the national scale of how close countries are to reaching environmental policy targets. The 2024 EPI Report concludes that countries’ wealth is a strong predictor of overall EPI scores, with good governance being another extremely important factor. In the 2024 EPI overall ranking, European countries occupy the top 20 positions.

▼ **Table 8.8** World map showing rankings in the 2024 Environmental Performance Index

| Rank | Country    | EPI  | Rank | Country     | EPI  |
|------|------------|------|------|-------------|------|
| 1    | Estonia    | 75.7 | 171  | Afghanistan | 31.0 |
| 2    | Luxembourg | 75.1 | 172  | Iraq        | 30.3 |



|    |                |      |     |            |      |
|----|----------------|------|-----|------------|------|
| 3  | Germany        | 74.5 | 173 | Madagascar | 30.1 |
| 4  | Finland        | 73.8 | 174 | Eritrea    | 29.0 |
| 5  | United Kingdom | 72.6 | 175 | Bangladesh | 28.1 |
| 6  | Sweden         | 70.3 | 176 | India      | 27.6 |
| 7  | Norway         | 69.9 | 177 | Myanmar    | 27.1 |
| 8  | Austria        | 68.9 | 178 | Laos       | 26.3 |
| 9  | Switzerland    | 67.8 | 179 | Pakistan   | 25.5 |
| 10 | Denmark        | 67.7 | 180 | Vietnam    | 24.6 |

## Activities

- 1 Define sustainable development.
- 2 What does [Figure 8.15 \(page 191\)](#) show?
- 3 Look at [Figure 8.16 \(page 192\)](#). Research two of the Sustainable Development Goals and then write a brief analysis of your findings.
- 4 How was the 2024 Environmental Performance Index calculated?
- 5 Look at [Table 8.8](#). Describe the main characteristics of the countries with the highest Environmental Performance Index (Ranks 1–10) compared to those that have the lowest Environmental Performance Index (Ranks 171–180).

## The strategies to try to achieve sustainable development

### Environmental

**Environmental sustainability** centres on the preservation and protection of the natural environment over time. It involves appropriate practices and policies to meet present-day needs without compromising the availability of resources in the future. The key objectives of environmental sustainability are as follows:

- » To reduce GHG emissions in all sectors of the economy.
- » To transition to renewable sources of energy.
- » To adopt sustainable practices in agriculture.
- » To increase awareness of the issues involved in environmental sustainability.
- » To promote the **circular economy** ([Figure 8.17](#)), which aims to keep raw materials in a closed loop. In this way, the maximum use is made of raw materials, resulting in a reduced need for new raw materials. Waste is reduced and the lifecycle of products is extended. The idea is that the waste of today becomes the raw materials of tomorrow.

All of these objectives combine to conserve and sustainably manage natural resources including water, soil, forests, wildlife and natural habitats.

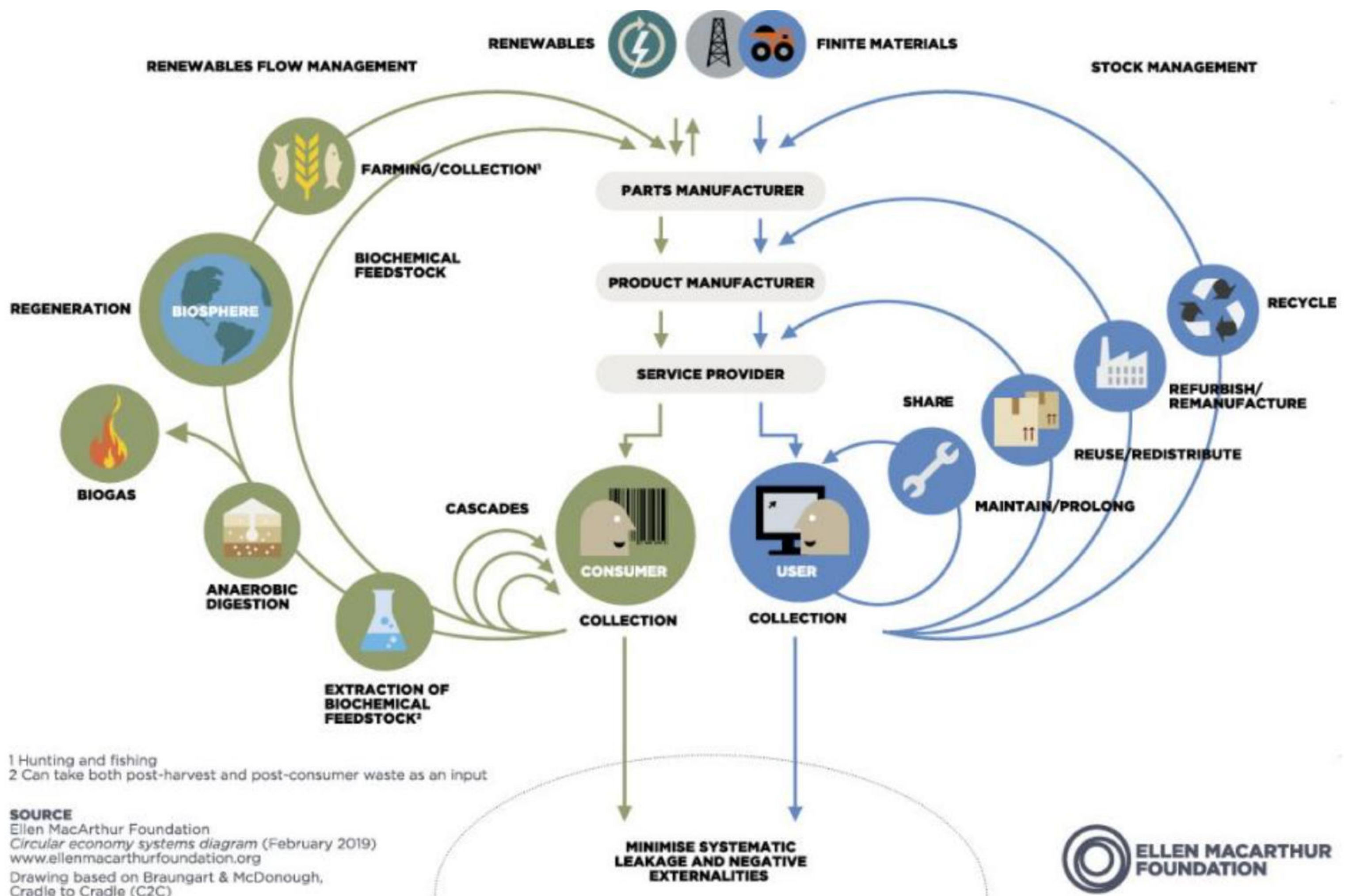
### Social

**Social sustainability** centres on the wellbeing of people and the communities they live in. Systems and policies should be directed towards tackling:

- » poverty and inequality
- » discrimination, prejudice and social exclusion
- » lack of access to resources
- » insecurity at all scales, from local to global
- » poor governance.

The overall objective of social sustainability is to ensure equitable access to opportunities and resources for all people.





▲ **Figure 8.17** The circular economy

## Economic

**Economic sustainability** involves conducting economic activities in a way that preserves and promotes long-term economic wellbeing. Economies become more sustainable by:

- » transitioning away from fossil fuels and generating as much energy as possible from renewable sources
- » adopting policies and regulations that maximise energy efficiency
- » promoting economic models based on the circular economy that reduce waste and limit resource exploitation
- » encouraging international cooperation and partnerships between public administration and private enterprises
- » ensuring corporate responsibility.

## Activities

- 1 **a** Define environmental sustainability.  
**b** What are the main objectives of environmental sustainability?
- 2 Explain the concept of the circular economy.
- 3 Discuss the difference between social sustainability and economic sustainability.

## The techniques used by selected sectors that promote sustainability

### Agriculture

The range of management strategies that can be employed to reduce soil degradation in agriculture, including mechanical methods and cropping techniques, can be found in [Chapter 10.3 on page 264](#).

### Rock and mineral extraction

Quarrying and mining represent a major human impact on the landscape. However, a range of sustainable practices can reduce the environmental impact of this essential industry. For example:

- » Before extraction begins: If there is a reasonable choice of locations, selecting sites strategically close to major transport hubs is an important step in reducing the environmental impact.
- » During the active extraction time period: Advanced quarrying methods such as water jetting and laser cutting are more accurate than traditional techniques. They minimise material wastage, produce lower levels of dust and do not involve the use of hazardous chemicals or explosives.
- » After the quarry has closed: Phased restoration has become more mainstream in recent decades. This



involves returning parts of the quarried area to a more natural state as quickly as possible after operations have ceased on a part of the site. Such a strategy allows ecosystems to begin their recovery process sooner.

## Urban areas

Sustainable practices in combating urban pollution have become more commonplace globally in recent decades. The health and other costs associated with doing the bare minimum have become all too obvious in most cities. A range of techniques can be used to reduce air pollution from vehicles:

- » In the UK, the Electric Car Scheme is a government tax incentive to make electric cars more financially accessible for the average person. EV charging stations are appearing in many sites across the UK.
- » In Taipei (Taiwan), smart traffic lights form part of an intelligent adaptive traffic signal system. The objective is smooth traffic flow to reduce the delays and engine idling that contribute to pollution.
- » In Copenhagen (Denmark), the Green Wave technology initiative coordinates traffic lights for cyclists, encouraging the use of cycling as an alternative to driving.
- » In London, the **Ultra Low Emission Zone (ULEZ)** has significantly reduced the number of older, high-polluting vehicles entering the city ([Figure 8.18](#)). ULEZ was introduced in 2019 and initially confined to Central London. It was extended to broadly include inner London in 2021, and then further extended to cover all of Greater London in 2023. The scheme is claimed to be the largest clean air zone in the world.



▲ **Figure 8.18** London's Ultra Low Emission Zone, introduced in 2019

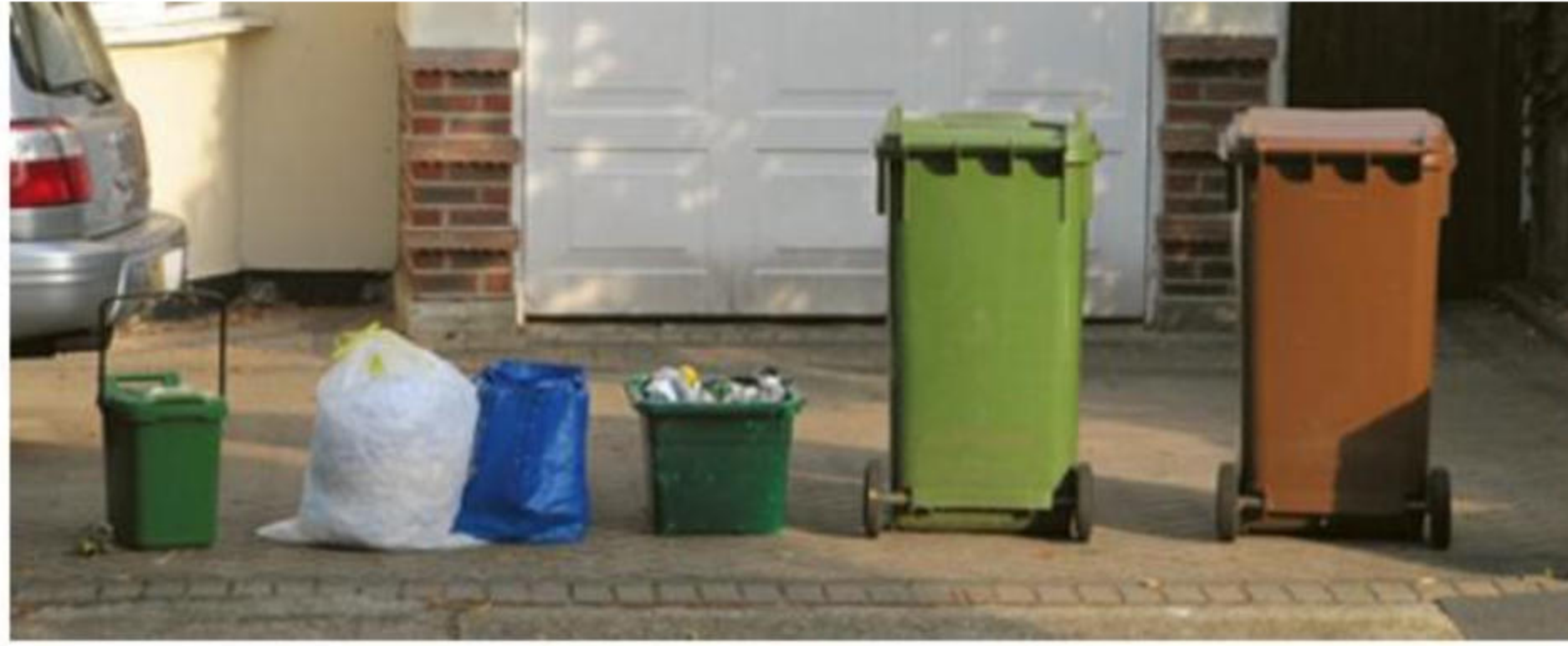
Sustainable techniques introduced to improve the quality of life in other aspects of urban living include the following:

- » **Urban gardens:** Many cities have tried to increase their areas of green space. Plants absorb pollutants and release oxygen, helping to improve air quality. Greater tree and ground vegetation coverage can ease cooling needs and reduce the use of air conditioning, which is very energy intensive. Higher vegetation cover can help mitigate the urban heat island effect.
- » **Domestic combustion:** Smoke Control Areas (SCAs) are in place across the UK, with similar schemes in other countries. This legislation places restrictions on fuels used and smoke released by households. Gas boilers, which are a significant source of nitrogen oxides (NO<sub>x</sub>) emissions, are coming under close scrutiny, with encouragement to change to alternatives such as electric boilers and heat pumps.
- » **Construction:** The construction industry is undertaking sustainable changes in the way that it operates in construction sites and in the design and operation of the buildings themselves. Sustainability measures on construction sites include:
  - » implementing sustainable design, engineering and construction practices to reduce emissions throughout a project's lifecycle
  - » using logistics processes that optimise deliveries to reduce mileage, emissions and carbon footprint
  - » operating equipment in an energy-efficient manner.

In terms of construction's end product, finished buildings, the UN set ambitious targets for sustainability at the beginning of this decade. For example, the target reduction rate for energy intensity per m<sup>2</sup> in buildings is 30 per cent by 2030.

- » **Waste management:** At the household scale, people have been encouraged to reduce, reuse and recycle ([Figures 8.19](#) and [8.20](#)). Minimising and repurposing help to preserve the environment. For those with gardens, composting can reduce land pollution. At the municipal scale, **sanitary landfills** are being increasingly used in and around urban areas for land disposal of solid waste. These facilities are designed to control leachate and methane, thus minimising the risk of land pollution from solid waste disposal. Sanitary landfill sites are prepared with impermeable bottom liners to collect leachate and prevent contamination of groundwater.





▲ **Figure 8.19** The various categories of recycling

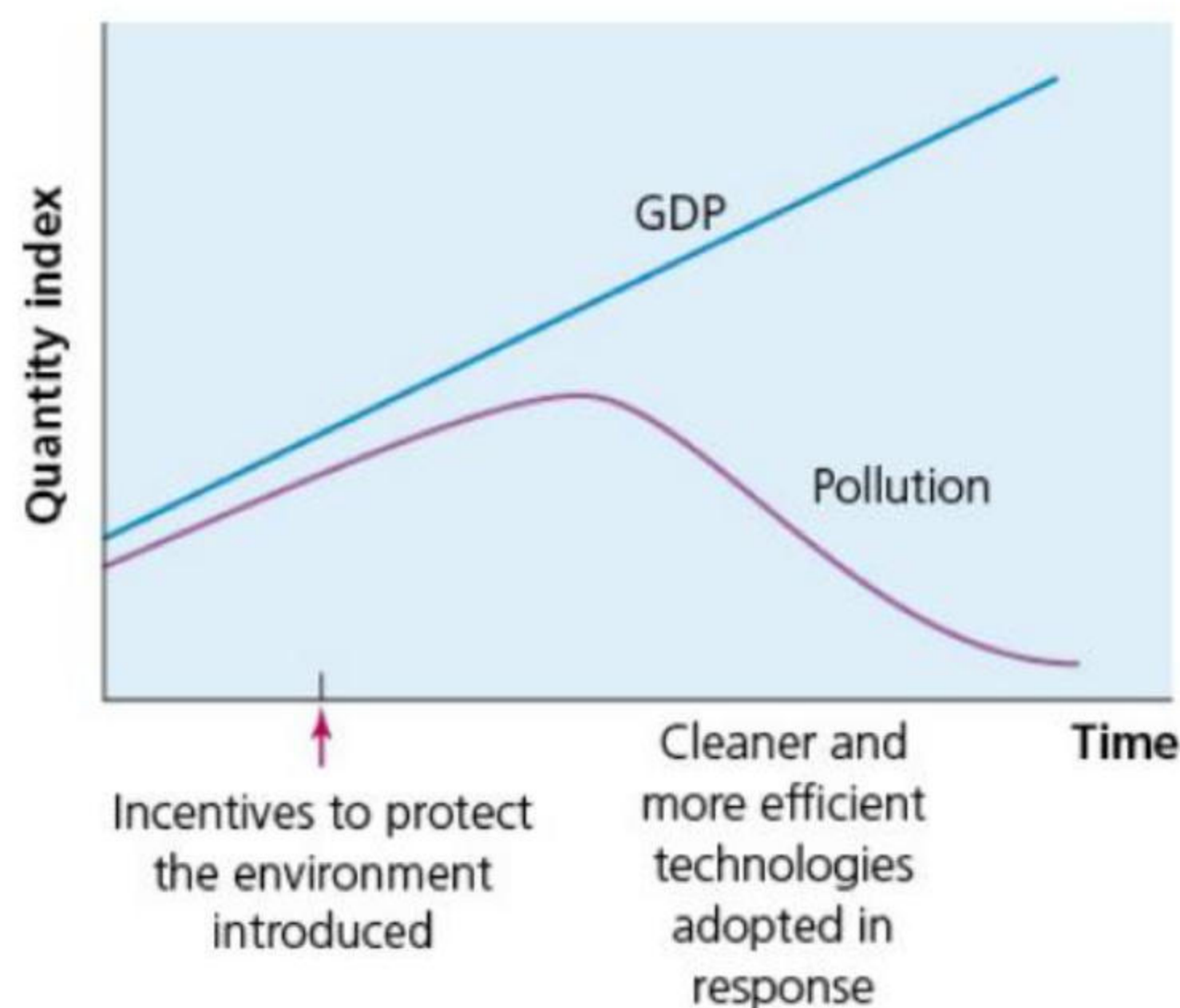


▲ **Figure 8.20** Green waste recycling in the UK

## Industry

In developed countries in particular, industrial emissions have reduced substantially since the 1990s due to a combination of stricter emission standards and fuel changes to greener energy. Specific changes include the increasing use of electric boilers, electric arc furnaces and induction furnaces, and large-scale industrial heat pumps.

Industry has spent increasing amounts on research and development to reduce its environmental impact – the so called greening of industry. In general, after a certain stage of economic development, the level of pollution will decline ([Figure 8.21](#)). This is because countries have become more aware of their environmental problems, and they have also created the wealth to invest in improving the environment.



▲ **Figure 8.21** The relationship between GDP and pollution

## Tourism

A consideration of sustainable development relating to tourism can be found in Topic 9 on [page 241](#).

## Activities

- 1 Explain the benefits of three sustainable techniques used in agriculture.
- 2 Comment on the examples given on [page 195](#) to improve sustainability in rock and mineral extraction.
- 3 What are sanitary landfills and why are they important?



# The strategies to reduce uneven development

The development gap is such a major global issue that it is not surprising there are different views held by governments, organisations and individuals. For example:

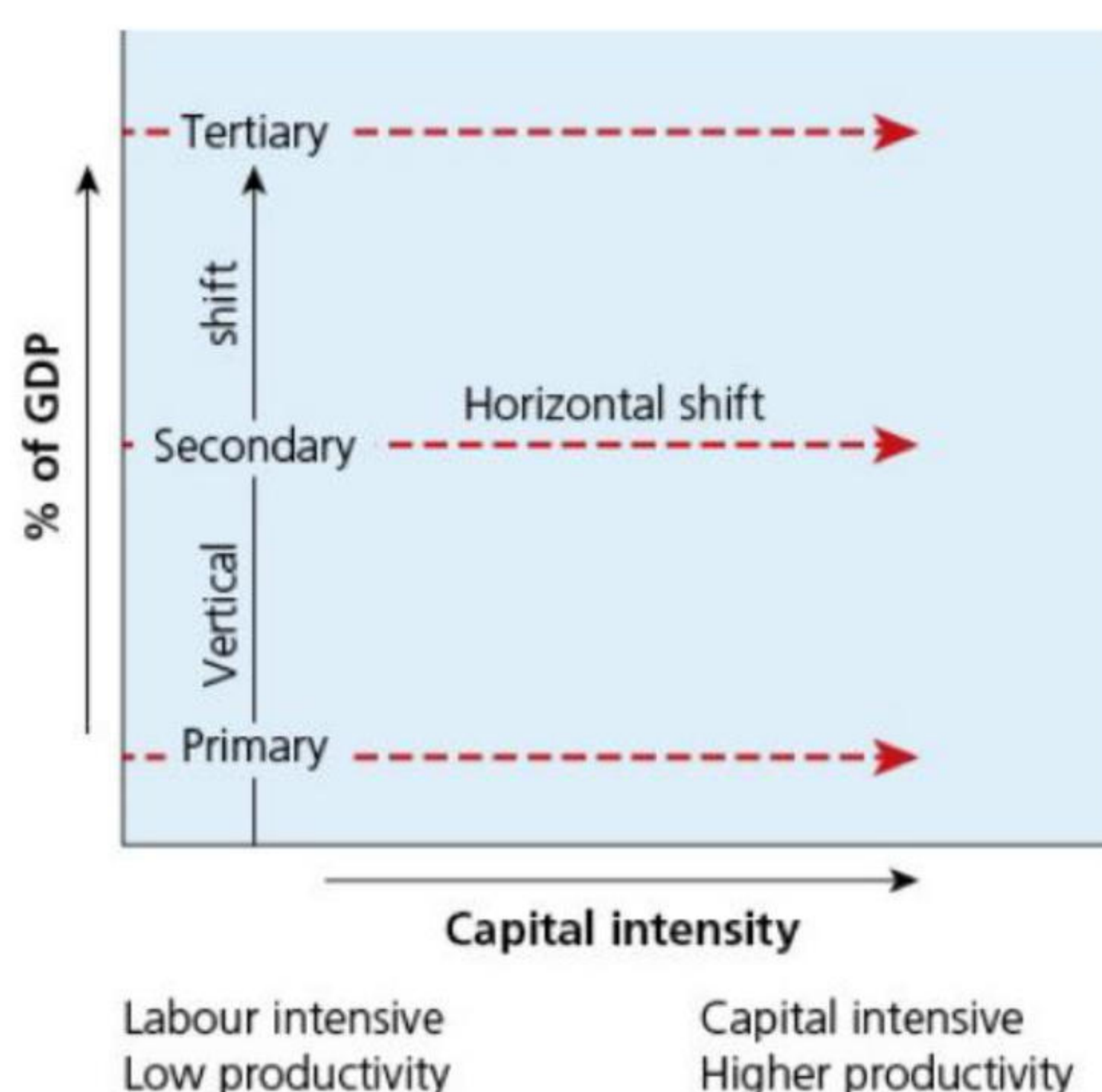
- » Some countries contribute a much higher proportion of their GDP to international development than others.
- » The political character of a government can influence its attitude to international development.
- » Development economists can differ in their views about the best ways to encourage development.
- » The strength of **global civil society** in a country can be a big factor in shaping development policy.
- » The respective benefits of prioritising trade or aid have been debated for a long time.

## Trade

The **United Nations Conference on Trade and Development (UNCTAD)** was established in 1964 to promote the interests of developing countries in world trade. UNCTAD recently stated, 'Globalisation, including a phenomenal expansion of trade, has helped lift millions out of poverty. But not nearly enough people have benefited. And tremendous challenges remain.' There is a strong relationship between trade and development. UNCTAD has stated that even small changes in agricultural employment opportunities or farm prices can have major socioeconomic effects in developing countries.

UNCTAD's Trade and Development Report 2021 highlighted the development potential of:

- » the 'vertical shift' in production from primary to secondary, and on to higher-end tertiary GDP and employment ([Figure 8.22](#))
- » the 'horizontal shift' of resources from lower to higher productivity. Here all sectors of the economy benefit from becoming more capital intensive and thus less labour intensive.



▲ **Figure 8.22** Sector and productivity change

The Report stated, 'Together, these processes have, in almost all successful development experiences, facilitated a more diversified structure of economic activity, raised productivity and led to an improvement across a broad set of social indicators, including poverty reduction.' More diversified economies are less vulnerable to external shocks.

## Reforming the World Trade Organization

The World Trade Organization (WTO) deals with the rules of world trade. Its main aim is to ensure that world trade flows as freely as possible. The WTO was set up in 1995 with far greater powers than its predecessor (the General Agreement on Tariffs and Trade - GATT) to settle trade disputes. Its headquarters is in Geneva, Switzerland. The WTO has over 150 member countries, accounting for more than 97 per cent of world trade.

Today, average tariffs are only about a tenth of what they were in 1947 when the GATT was formed, and world trade has been increasing at a faster rate than GDP. However, in some areas protectionism is still an issue, particularly in the sectors of clothing, textiles and agriculture. Although most countries accept the principle of reducing trade barriers, they may worry that important domestic industries may not be able to compete with lower-cost goods being imported from abroad. As a result, trade agreements can often be very difficult to broker, and can take a long time to achieve.

Critics of the WTO complain it is dominated by the largest economies in the world, with little regard for the trade difficulties faced by many less affluent countries. Organisations such as the Global Policy Forum argue that world trade is very unequal, noting that:



- » agricultural subsidies and trade barriers in the USA, EU and other HICs prevent LICs from gaining proper access to the most important markets in the world
- » at the same time, LICs have been expected to open up their markets to competition from more advanced nations
- » trade is heavily dominated by transnational corporations (TNCs), which often benefit the most from new trade rules
- » giving developing countries greater access to markets in developed countries would be a major boost to the incomes of LICs.

Many non-governmental organisations (NGOs) have criticised the ways in which the global trading system operates. [Table 8.9](#) summarises these complaints.

▼ **Table 8.9** Criticisms of the WTO

|                            |                                                                                                                                                                                                                                                                                 |
|----------------------------|---------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------------|
| <b>Dumping</b>             | Dumping is the export of products (for instance clothing) at a price less than the normal value of that product. This unfair trade practice can have a big negative impact on developing countries through these imported goods being cheaper than domestically produced goods. |
| <b>Market access</b>       | The conditions attached to IMF–World Bank programmes have often forced developing countries to open their markets, regardless of the impact. Developing countries have often found it difficult to access markets in developed countries such as the EU and the USA.            |
| <b>Patent rights</b>       | The high level of international protection on intellectual property rights on essential products such as computer software and medicines has created ‘unnecessary’ costs for developing countries.                                                                              |
| <b>Corporate practices</b> | The objective of many TNCs is to produce as cheaply as possible. This often results in the exploitation of people and environments in developing countries.                                                                                                                     |
| <b>Uneven influence</b>    | Developing countries have long argued that their concerns about the ways in which the global trading system operates are largely overlooked.                                                                                                                                    |

## Fairtrade

**Fairtrade** is a system designed to help small-scale producers in developing countries achieve sustainable and fair trade relationships. It recognises the small proportion of the final price of a product that goes to producers. For example, the great majority of the money generated by the tea industry goes to the post-raw-material stages (processing, distributing and retailing), usually benefiting companies in wealthy countries rather than the producers in LICs.

Many supermarkets and other large stores in developed countries now stock some ‘fairly traded’ products ([Figure 8.23](#)). Many are agricultural products such as bananas, orange juice, nuts, coffee and tea. However, the market in non-food goods such as textiles and handicrafts has increased in recent years. The Fairtrade system operates as follows:

- » Small-scale producers group together to form a cooperative.
- » These cooperatives deal directly with companies such as large supermarkets in more affluent countries. Dealing directly cuts out intermediaries, such as wholesalers.
- » These companies pay more than the world market price for the products traded.
- » The higher price achieved by the cooperatives provides both a better standard of living and some money to invest in the farms of producers.

Advocates of the Fairtrade system say that it is a model of how world trade should be organised to tackle global poverty. They also stress the high environmental standards set by the Fairtrade system. This system of trade began in the 1960s with Dutch consumers supporting Nicaraguan farmers. Today more than 1.9 million farmers and workers are in Fairtrade-certified producer organisations – there are 1880 of these organisations in 71 countries. Currently, Fairtrade is less than 1 per cent of total world trade. NGOs would like to see this system increased in scale.

As you might expect, the Fairtrade system has not been without its problems and critics. For example, some retailers in developed countries have withdrawn from the system in favour of organising their own way of helping producers in LICs.





▲ **Figure 8.23** An example of a popular Fairtrade product

## International aid

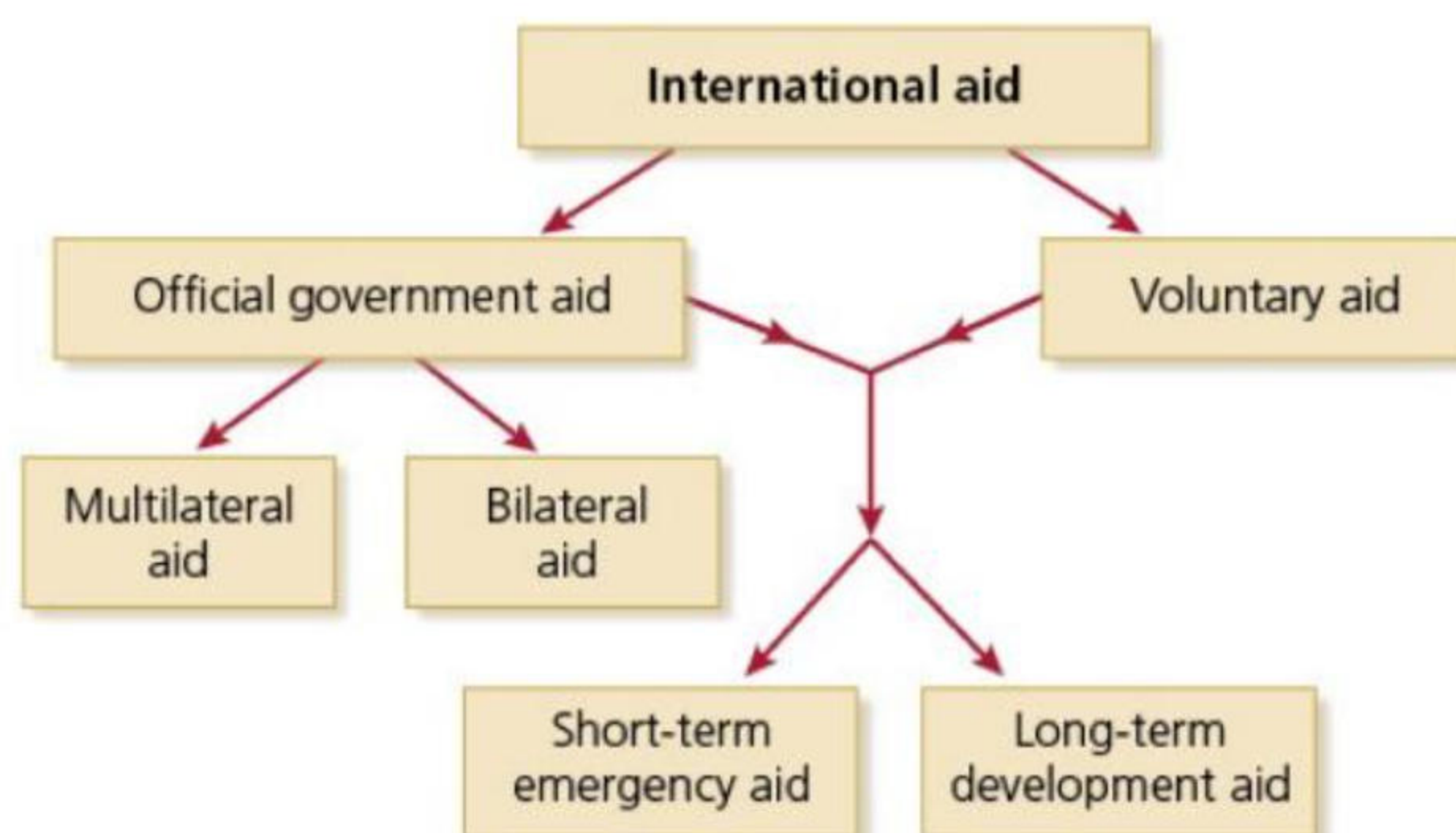
**International aid** is assistance given to countries in need, in the form of grants or cheap loans. Most developing countries have been keen to accept foreign aid. This is because many:

- » lack the hard currency to pay for vital imports
- » have insufficient savings to invest in industry and infrastructure
- » lack important technical skills.

The origins of international aid date back to the Marshall Plan of the late 1940s. This was when the USA set out to reconstruct the war-torn economies of Western Europe and Japan as a means of containing the international spread of communism. By the mid-1950s the battle for influence between West and East in the developing world began to have a marked effect on the geography of aid. Thus, it is not surprising that reservations are often expressed about the directions of international aid and the reasons behind it.

The basic distinction in international aid is between official government aid and voluntary aid ([Figure 8.24](#)):

- » Official government aid is where the amount of aid given and who it is given to is decided by the government of the country/countries giving the aid.
- » Voluntary aid is run by NGOs or charities, which raise money in various ways from individuals and organisations. However, an increasing amount of government money goes to NGOs because of their special expertise in running aid programmes efficiently.



▲ **Figure 8.24** The different types of international aid

Official government aid can be divided into:

- » bilateral aid, which is given directly from one country to another. A significant proportion of bilateral aid is 'tied', despite continual efforts to end this process
- » multilateral aid, which is provided by many countries and organised by an international body such as the UN.

Aid supplied to lower-income countries is of two types:

- » Short-term emergency aid, often called 'relief aid', is provided to help countries cope with unexpected disasters such as earthquakes, volcanic eruptions and tropical cyclones.



- » Long-term development aid is directed towards continuous improvement in the quality of life in an LIC.

There is no doubt that many countries have benefited from international aid. All the countries that have developed from low income to middle income have received international aid. However, their development has been due to other reasons too. It is difficult to be precise about the contribution of international aid to the development of each country. The main concerns about aid are that:

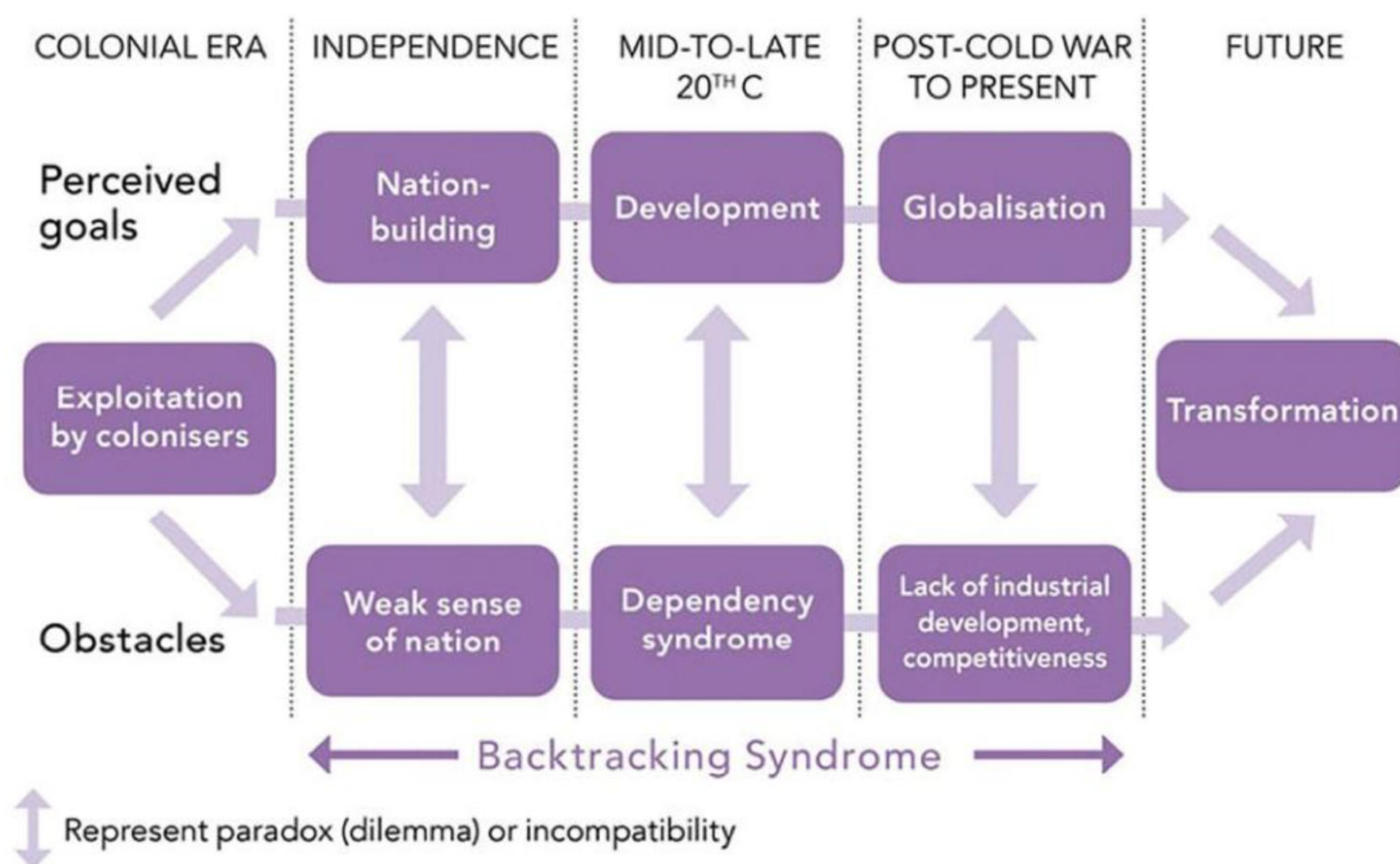
- » a significant proportion is **tied aid**
- » too often aid fails to reach those that need it most
- » the use of aid on large capital-intensive projects may worsen local poverty
- » aid may delay the introduction of reforms, for example the substitution of food aid for land reform
- » aid can create a culture of dependency.

Figure 8.25 relates to Sub-Saharan Africa, showing the clash between perceived goals and the obstacles to development in the post-colonial era. The author of the diagram, Dr Jong-Dae Park, argues that aid, although well-intentioned, created a culture of dependency in many countries in Africa. Many argue that this state of dependency was imposed on low-income nations as an expression of neo-colonialism. As a result, the hoped-for pace of development was rarely achieved. Dr Park notes:

- » Humanitarian aid/disaster relief tends to be successful where donors and recipients have very easy and clear-cut relationships.
- » Development aid tends to have problems where relationships between donor and recipient are far more complicated.

He adds that cultural differences and misunderstandings can cause considerable difficulties in achieving goals, particularly with large-scale projects.

Historically, India has been the biggest recipient of foreign aid. This has been because of the country's size and the scale of its development problems. However, such aid has declined rapidly in recent years as the country has developed. India itself now sends aid to other countries such as Bhutan, Nepal, the Maldives, Sri Lanka and Afghanistan. India is not the only emerging country to change from being a recipient of aid to an aid donor. Some advocates of international aid say this shows how successful aid can be in the development process. Nonetheless, the challenges for development will vary between countries and this route may not work for all nations.



▲ **Figure 8.25** The post-colonial period in Sub-Saharan Africa

Many development economists argue that there are two issues more important to development than aid:

- » Changing the terms of trade so that low-income countries get a fairer share of the benefits of world trade.
- » Writing off the debts of LICs, which were exploitative and impossible to pay back because they were at such a high level.

NGOs have often been much better than government agencies at directing aid towards sustainable development. The selective nature of such aid has targeted the poorest communities, using **intermediate technology** and involving local people in decision-making.



## Debt relief

Many development organisations have singled out **debt** as the main problem for the world's LICs. The term 'debt' generally refers to foreign debt. This is money owed to creditors outside the country. This debt has two components:

- » Debt outstanding, which is the total amount owed.
- » Debt service, which is the interest to be paid each year.

Some of these debts were imposed as 'payback' for what Western countries perceived they had lost when their colonies gained independence. Other loans were set at levels of interest that were effectively unserviceable. Debt affects a country's credit rating and thus its overall economic vulnerability. The **debt service ratio** of many LICs is at a very high level compared to their ability to pay. The debt service ratio is the proportion of a country's export earnings that it needs to use to meet its debt repayments.

Restructuring the debt of LICs began in a limited way in the 1950s. The Heavily Indebted Poor Countries (HIPC) Initiative was established in 1996 by the IMF and World Bank. In 2006, the Multilateral Debt Relief Initiative (MDRI) was launched to provide extra support to HIPCs to reach the Millennium Development Goals. **Debt relief** frees up resources for social spending.

Debt relief is part of a much larger process that includes international aid, which is designed to address the development needs of LICs. Unfortunately, indebtedness grew across many regions from the start of the Covid-19 pandemic. Debt burdens are too high and export revenues too low in many parts of the developing world.

## Microcredit and social business

The development of the Grameen Bank in Bangladesh illustrates the power of **microcredit** in the battle against poverty. The idea of microcredit came from the economist Muhammad Yunus, who opened the Grameen Bank in 1983. The Grameen Foundation advocates microfinance and innovative technology to fight global poverty and bring opportunities to those in extreme poverty. The bank provides tiny loans and financial services to these people to start their own businesses. Women are the beneficiaries of most of these loans. A typical loan might be used to buy a cow in order to sell milk to fellow villagers, or to purchase a piece of machinery that can be hired out to other people in the community. The concept has spread well beyond Bangladesh to reach millions of families in over 25 countries ([Figure 8.26](#)).

In his book, *Creating a World Without Poverty*, Yunus highlighted '**social business**' as the next phase in the battle against poverty. He presents a vision of a new business model that combines the operation of the free market with the quest for a more humane world.

However, microcredit has faced increasing criticism in recent years because:

- » interest rates are often very high
- » recipients often use loans to finance consumption, meaning they do not generate any new income that they can use to repay their loan.



▲ **Figure 8.26** Kathmandu, Nepal – financial cooperatives are very important for small businesses to develop

## Activities

- 1 Explain [Figure 8.22 \(page 197\)](#).
- 2 State one reason why most LICs have been keen to accept foreign aid.



- 3 What are the two components of debt?
  - 4 List three characteristics of the Fairtrade system.
  - 5 What are the advantages and disadvantages of microcredit?
- 

## Detailed specific example

### Indonesia: an emerging economy

#### Indonesia's current level of economic development

According to the World Bank's income classification, Indonesia is an upper-middle-income country. Indonesia's significant economic indicators include:

- an annual GDP of over US\$1 trillion
- an increasing, economically active population, with a national median age of 29
- a large and growing middle-class consumer base
- expanding commodity exports
- policies aiming to attract foreign direct investment
- a new capital city under construction in Kalimantan.

#### Geographical location

Indonesia is the world's largest **archipelagic country** (Figure 8.27), lying between the Indian Ocean and the Pacific Ocean and consisting of over 17,000 islands (Figure 8.28). It lies across the equator, spanning a distance of one-eighth of the Earth's circumference. Indonesia is strategically located along major shipping lanes connecting East Asia, South Asia and Oceania. The country is characterised by active volcanoes and is bounded to the south and west by a series of deep-ocean trenches.



▲ **Figure 8.27** Indonesia lies between the Indian and Pacific Oceans and consists of over 17,000 islands





▲ **Figure 8.28** A small, uninhabited island in the Ceram Sea, Indonesia

The capital city, Jakarta, is located near the northwestern coast of Java. About 70 per cent of the country's population live in coastal areas, relying on the surrounding seas for both income and nutrition. Indonesia contains:

- the third-largest tropical rainforest in the world
- the world's largest tropical peatlands
- the world's largest mangrove forests.

All of these important physical environments store huge amounts of carbon that help mitigate climate change impacts.

### Population and economic status

With a population of almost 279 million ([Table 8.10](#)), Indonesia is the fourth most populous country in the world after India, China and the USA. Indonesia has the youngest population in the Southeast Asia region, with 24 per cent of its population under 15 years of age. However, the country's rate of population growth has fallen considerably in recent decades. With a birth rate of 17/1000 in 2023, Indonesia is now in stage 3 of demographic transition. Fifty-six per cent of Indonesia's population live on the island of Java, especially in the capital city, Jakarta. Java is the economic core of the country, accounting for 58 per cent of national GDP. Indonesia has the largest Muslim population in the world. It is a democratic country that has endured periods of autocracy in the past.

▼ **Table 8.10** Indonesia fact file for 2023

|                                                     |                          |
|-----------------------------------------------------|--------------------------|
| <b>Population</b>                                   | 278.9 million            |
| <b>Birth rate</b>                                   | 17/1000                  |
| <b>Death rate</b>                                   | 6/1000                   |
| <b>Infant mortality rate</b>                        | 15/1000                  |
| <b>Life expectancy at birth</b>                     | 75 years                 |
| <b>Population living in urban areas</b>             | 59 per cent              |
| <b>Urban population in informal settlements</b>     | 19 per cent              |
| <b>Population per km<sup>2</sup> of arable land</b> | 1060                     |
| <b>GNI per capita (\$PPP)</b>                       | 14,250                   |
| <b>Human Development Index category</b>             | High, 112th in the world |

In economic terms, Indonesia is the tenth-largest economy in the world by purchasing power parity (\$PPP). By 2028, it is projected to be the world's sixth-largest economy by \$PPP ([Figure 8.29](#)). Indonesia is the largest economy in Southeast Asia and is generally viewed as an emerging economy. The country was invited to join the BRICS (Brazil, Russia, India, China and South Africa) group of countries in 2023, but declined the offer. However, it has not ruled out joining in the future. Indonesia is a member of G20, the group of the world's twenty largest economies. It assumed the rotating G20 Presidency in 2022.

The poverty rate in Indonesia has fallen by more than half since 1999, to under 10 per cent in 2023.

### Raising Indonesia's level of development

The government of Indonesia has set a goal for the country to achieve 'high-income' status by 2045. This is consistent with the government's strategy in recent decades to raise the country's levels of development, quality of life and standard of living. The country has been following a 20-year development plan since 2005 (2005–25), which is segmented into five-year Medium-Term National Development Plans (RPJMN), each with different development priorities.

The 2023 Human Development Index ranked Indonesia as a country of medium human development. The quality of health in Indonesia has risen with the government focusing on improving the general health of people in poverty through the use of Universal Health Coverage [UHC] Policies. Examples of other significant improvements in the quality of life have been in the areas of economic stability, food security and the gender gap.

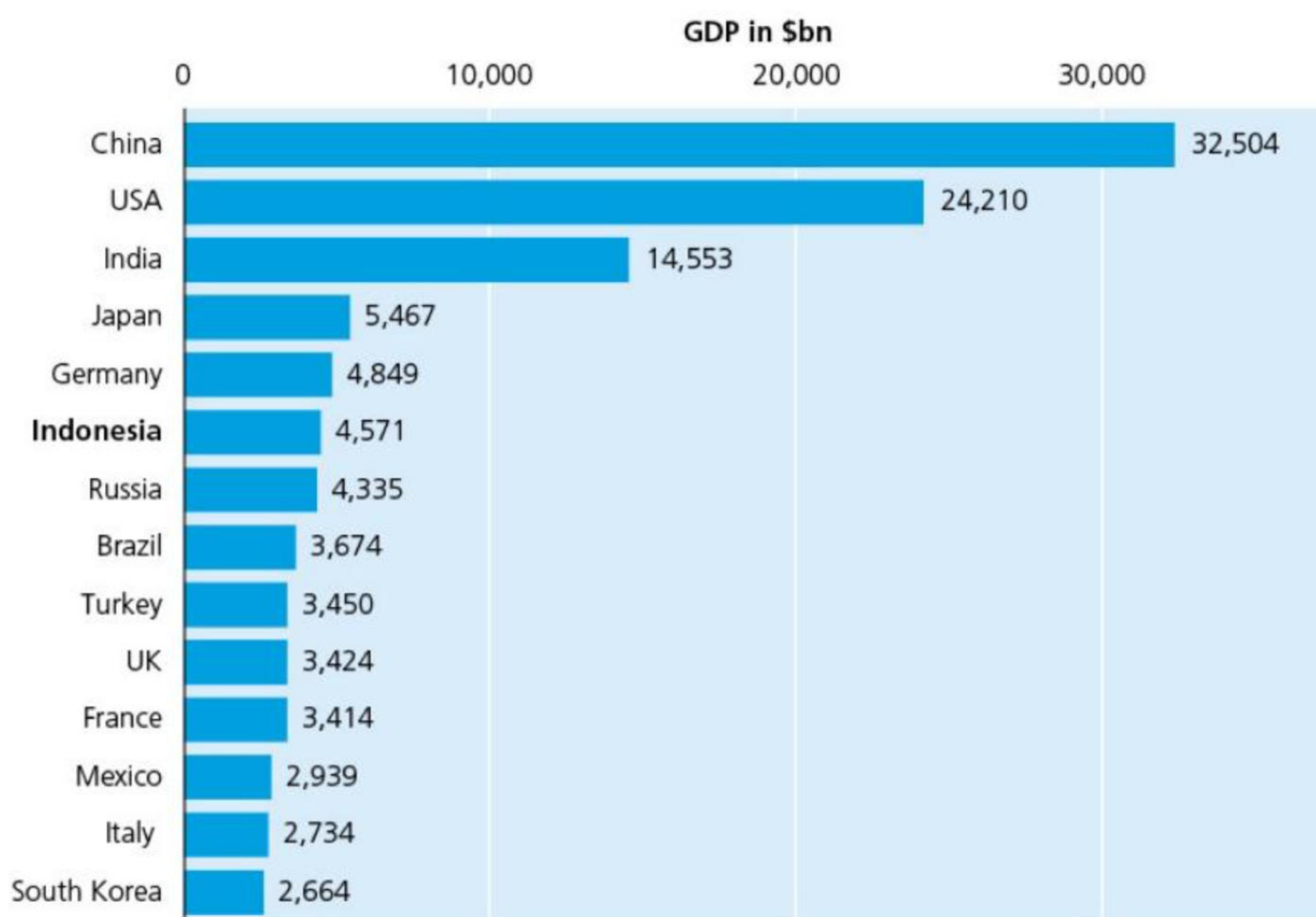
### Economic transformation



In the 1980s and 1990s, Indonesia experienced rapid industrialisation through growth in manufacturing exports. This went hand-in-hand with a high rate of urbanisation. Millions of workers moved from agricultural to non-agricultural jobs, particularly in the expanding manufacturing sector. This 'first wave' of **structural transformation** substantially increased average incomes, resulting in a large reduction in the number of people below the poverty line.

However, the nature of structural transformation changed as industrialisation stalled after the 1997–98 Asian financial crisis. Indonesia's economy shifted into a natural resource-based growth model. Although workers continued to move away from agricultural employment in this 'second wave' of structural transformation, they mostly found employment in low-paid service sectors, rather than in better-paid manufacturing jobs. While low-paying jobs in the service sector are generally more productive than agricultural activities, the difference is much less than between agricultural and manufacturing employment.

The perceived lack of middle-income jobs in Indonesia today is mainly due to the more limited productivity gains in the second wave of structural transformation. In this latter period, most of the improvement in labour productivity occurred due to efficiency gains within economic sectors (agriculture, manufacturing, services) rather than the movement between sectors.



▲ **Figure 8.29** The projected largest economies in the world in 2028 (GDP in \$bn)

Between 2014 and 2023, Indonesia's economy maintained a growth rate of about 5 per cent (except during the Covid-19 pandemic), with GDP per capita rising to about US\$5000 in 2023 ([Figure 8.30](#)). However, despite the significant decline in the incidence of poverty, data from the World Bank suggests that 53 per cent of Indonesia's population in 2018 either lived in poverty or were 'economically vulnerable'. In comparison, neighbouring Malaysia had an economically vulnerable population of only 3.7 per cent in 2018. While income inequality remained relatively stable during the first wave of economic transformation, it increased considerably during the second wave.

### Economic partners

Indonesia's main trading partners are mainland China, the USA, Japan, Singapore, South Korea and Hong Kong. The country has longstanding trade and investment relationships with Japan, Singapore and South Korea.

In 2022, Indonesia's exports were valued at US\$320 billion, up from US\$190 billion in 2017. The main export destinations were China (21.2 per cent), the USA (9.9 per cent), Japan (8.3 per cent) and India (7.9 per cent). The main products exported were coal briquettes (15.9 per cent), palm oil (9 per cent), ferroalloys (4.3 per cent), petroleum gas (3.7 per cent), copper ore (2.8 per cent) and lignite (2.6 per cent).

In the same year, imports were valued at US\$250 billion. The leading sources of imports were China (28.5 per cent), Singapore (9 per cent), Japan (6 per cent), Malaysia (5 per cent) and Thailand (4.2 per cent). The main products imported were refined petroleum (9.3 per cent), crude petroleum (4 per cent), motor vehicles, parts and accessories (1.7 per cent), and broadcasting equipment (1.6 per cent).

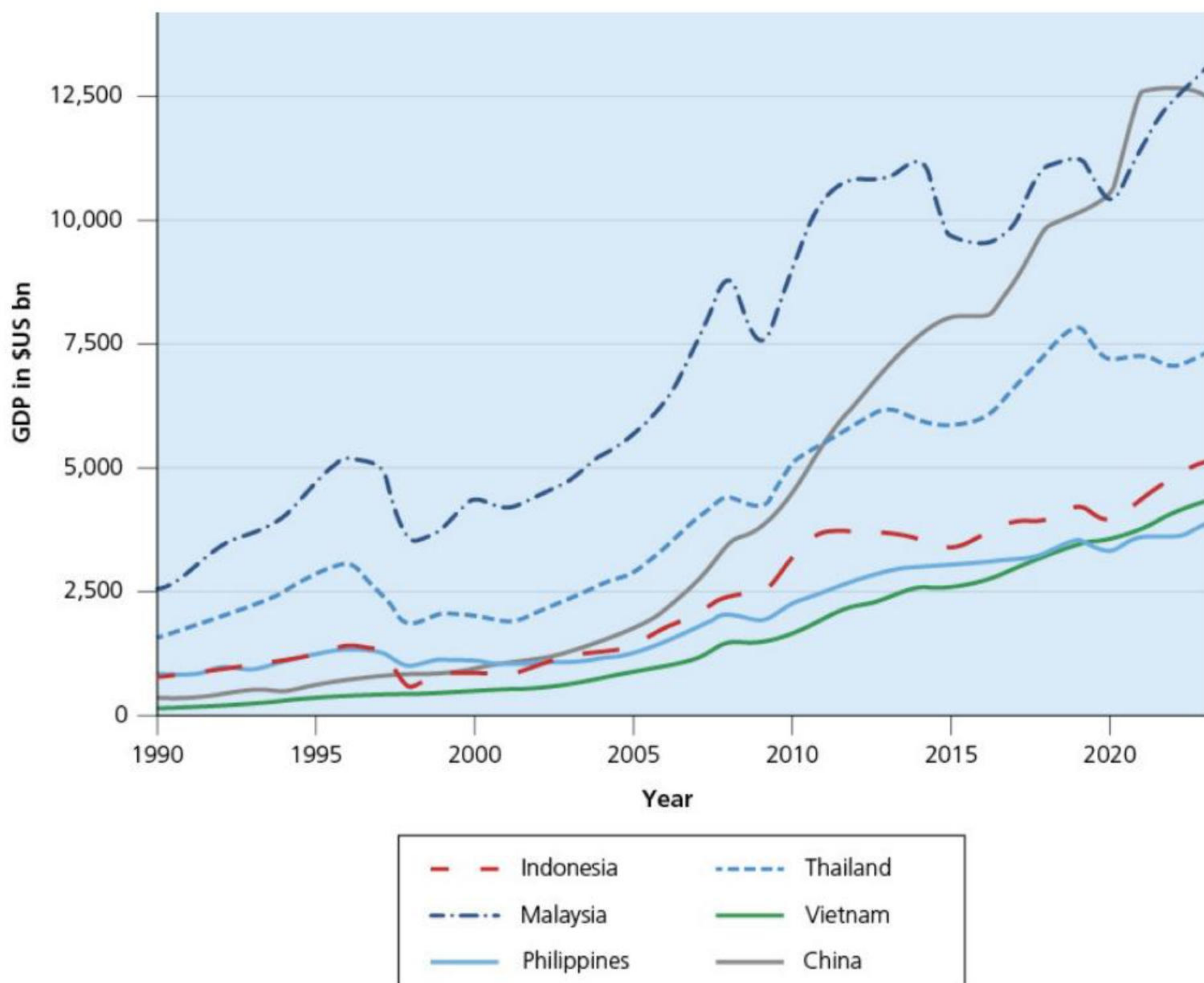
Indonesia had a current account surplus in 2021 for the first time in a decade, and this increased in 2022. However, maintaining a surplus could become a challenge if commodity prices decline.

### Focus on digitisation and sustainable industries

Indonesia's digital economy grew from US\$41 billion in 2019 to US\$77 billion in 2022, with strategies to increase electronic transactions and digital banking activity. A key element of this strategy was the One Data Initiative, a drive to digitise government processes to create more efficient, secure and interconnected data flows between departments. The objectives of this strategy were to:



- increase economic growth through improvements in efficiency
- give potential foreign investors more confidence to begin or expand their operations in Indonesia.



▲ **Figure 8.30** GDP per capita for Indonesia and five other Asian countries, 1990–2023

Digitisation is seen by the government as an important factor in the increase in the number of **unicorns** (start-ups), which is valued at least US\$1 billion in the country's fintech, e-commerce and logistics sectors. Fintech is a portmanteau (combination) of the words 'financial' and 'technology'. It describes the use of technology to deliver financial services and products to consumers.

Indonesia has prioritised electric vehicle (EV) battery production as a key industrial sector. The country has the advantage of the world's largest nickel reserves and the third-largest cobalt reserves. Both of these raw materials are essential in the production of batteries for electric vehicles. Indonesia is shifting away from exporting these raw materials, to producing EV batteries domestically, aiming to diversify its economy and attract further foreign direct investment. This policy also forms part of its net-zero strategy. This is an element of a wider focus to attract value-adding industries to Indonesia's large reserves of natural resources. This trend broadens the country's manufacturing export base and adds resilience to its current account balance.

In 2020, Indonesia banned the export of nickel ore, which served to encourage companies such as China's Tsingshan, South Korea's LG and Brazil's Vale to set up more factories in the country in order to access its raw materials. This involves not just more nickel being refined in Indonesia, but also foreign companies building more of their supply chains in the country. Indonesia defied a ruling by the World Trade Organization that the ban was unfair. The country has also introduced export controls on bauxite, the ore used to produce aluminium, and plans to introduce export controls on copper.

In 2023, foreign investment grew 13.7 per cent to reach a record high of US\$47.3 billion, after increasing by 46.6 per cent in 2022. About a third of FDI, predominantly from China, has gone into the metals and mining industries since 2021.

### Developing infrastructure

The current administration has spent more on infrastructure than any previous government. High levels of investment have gone into roads, railways, dams and ports across the country. The money allocated to infrastructure rose from US\$9.9 billion in 2014 to US\$27 billion in 2024. Between 2014 and 2024, Indonesia built 16 new airports, 18 new sea ports, 36 new dams and 2100 km of toll roads. Lower logistics and distribution costs are an important incentive for foreign direct investment. However, critics argue that state-owned companies have built up substantial debts with this increase in expenditure on infrastructure.

### Geopolitics

Indonesia has been a long-term member of the international Non-Aligned Movement (NAM). Member countries try to maintain good relations with both the 'Western' economies led by the USA, and what has become known as the 'Global



South’ under the ‘leadership’ of China. Indonesia’s non-aligned stance is at least part of the reason that it turned down the invitation to join the BRICS in 2023.

**Capital city: from Jakarta to Nusantara**

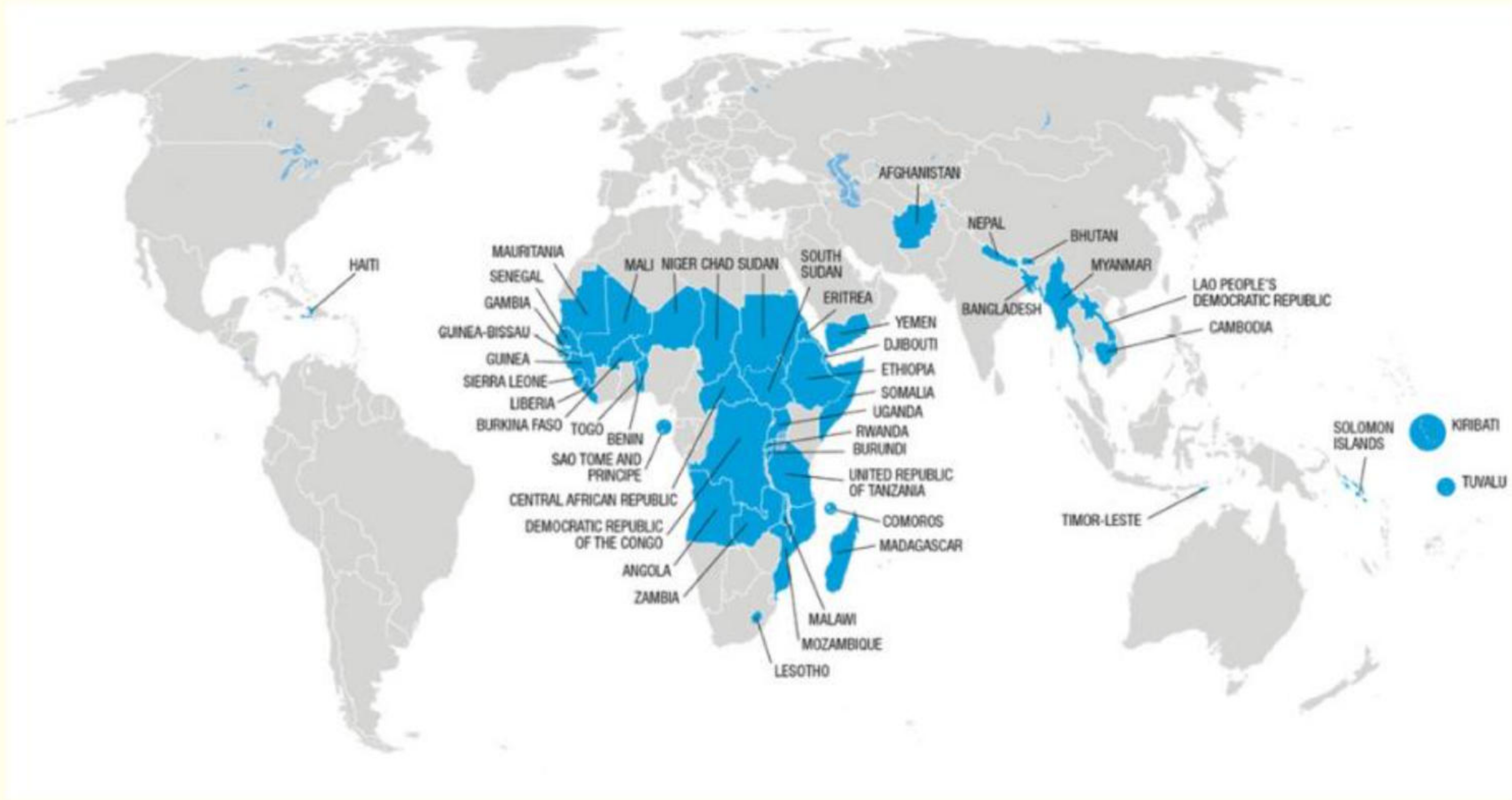
A new capital city called Nusantara (which means *archipelago* in Indonesian) is in the early stages of construction in the heart of the rainforest in Kalimantan (Borneo). This is a US\$45 billion project, announced in 2019, to move the government 1236 km away from the overcrowded and subsiding megacity of Jakarta. Jakarta’s metropolitan area is home to 30 million people. Construction of the new city began in July 2022 in an area of forests and oil palm plantations, 30 km inland from the Makassar Strait. The first stage of development involves constructing government facilities and other buildings for the expected initial population of 500,000. Construction is planned to be completed by 2045.

**Activities**

- 1 What is Indonesia’s current level of economic development?
- 2 Suggest why Indonesia’s relatively young population structure is viewed as an economic advantage.
- 3 Describe Indonesia’s two waves of structural transformation.
- 4 Why is Indonesia investing heavily in digitisation and sustainable industries?
- 5 Describe and explain the importance for Indonesia of investing in infrastructure.

**Practice questions**

- 1 [Figure 8.31](#) shows the world’s least-developed countries.
  - a Identify the least developed country in the Americas. [1]
  - b Describe the distribution of the least developed countries. [3]
  - c Suggest why islands such as Kiribati and Tuvalu are among the least developed countries. [3]



▲ **Figure 8.31** The world’s least-developed countries

- 2 [Table 8.11](#) shows life expectancy (years) for selected countries.
  - a Calculate the difference in life expectancy between the country with the highest life expectancy and the country with the lowest life expectancy. [2]
  - b Compare the characteristics of countries with high life expectancy with those with low life expectancy. [4]

▼ **Table 8.11** Life expectancy (years) for selected countries

| Highest life expectancy (2020–25) | Lowest life expectancy (2020–25) |
|-----------------------------------|----------------------------------|
| Monaco 89.4                       | Central African Republic 54.4    |
| Hong Kong 85.3                    | Chad 55.2                        |
| Japan 85.0                        | Lesotho 55.6                     |
| Macau 84.7                        | Nigeria 55.8                     |
| Switzerland 84.3                  | Sierra Leone 55.9                |

- 3
  - a Identify two economic indicators of development. [2]
  - b Suggest how improving levels of literacy may raise levels of development. [3]
- 4 Using named examples, evaluate ways in which uneven development may be reduced. [7]